11. FINANCIAL INFORMATION

11.1 HISTORICAL FINANCIAL INFORMATION

Our Group's historical audited financial information comprises the combined statements of profit or loss and other comprehensive income, combined statements of financial position and combined statements of cash flows for the Financial Period Under Review. The historical financial information was prepared in accordance with MFRS and IFRS and was not subject to any audit qualification.

The following financial information should be read in conjunction with the Management's Discussion and Analysis of Results of Operations and Financial Condition set out in Section 11.2 and Accountants' Report included in Section 12 of this Prospectus.

The selected financial information included in this Prospectus is not intended to predict our Group's future financial position, results and cash flows.

11.1.1 Combined statements of profit or loss and other comprehensive income

The following table sets out a summary of our Group's audited combined statements of profit or loss and other comprehensive income for the Financial Period Under Review, which was extracted from the Accountants' Report set out in Section 12 of this Prospectus.

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**
Revenue	95,662	195,539	194,908
Cost of sales	(66,325)	(135,001)	(108,378)
GP	**29,337**	**60,538**	**86,530**
Other income	221	1,686	3,967
Selling and distribution expenses	(20,490)	(46,582)	(53,411)
Administrative expenses	(1,430)	(1,767)	(3,187)
Other operating expenses	(1,887)	(617)	(580)
Profit from operations	**5,751**	**13,258**	**33,319**
Finance costs	(626)	(1,645)	(2,349)
PBT	**5,125**	**11,613**	**30,970**
Tax expenses	(1,256)	(2,968)	(8,200)
PAT/Total comprehensive income	**3,869**	**8,645**	**22,770**
PAT/Total comprehensive income attributable to:			
Owners of our Company	3,869	8,645	22,770
Non-controlling interest	-	-	-
	3,869	**8,645**	**22,770**
EBIT (RM'000)(1)	5,738	13,122	32,847
EBITDA (RM'000)(1)	12,792	24,343	46,791
GP margin (%)(2)	30.67	30.96	44.40
PBT margin (%)(3)	5.36	5.94	15.89
PAT margin (%)(4)	4.04	4.42	11.68
Effective tax rate (%)(5)	24.51	25.56	26.48
Basic and diluted EPS (sen)(6)	0.48	1.06	2.80

11. FINANCIAL INFORMATION *(cont'd)*

Notes:

(1) EBIT and EBITDA are computed as follows:

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**
PAT	3,869	8,645	22,770
Less:			
Interest income	(13)	(136)	(472)
Add:			
Finance costs	626	1,645	2,349
Tax expenses	1,256	2,968	8,200
EBIT	**5,738**	**13,122**	**32,847**
Less:			
Amortisation of deferred lease incentive	(50)	(200)	(200)
Add:			
Depreciation of plant and equipment	762	1,143	1,439
Depreciation of right-of-use assets	6,342	10,278	12,705
EBITDA	**12,792**	**24,343**	**46,791**

(2) Computed based on GP over revenue.

(3) Computed based on PBT over revenue.

(4) Computed based on PAT over revenue.

(5) Computed based on tax expenses over PBT.

(6) Computed based on the PAT attributable to owners of our Company over our enlarged number of Shares of 812,500,000 Shares in issue after our IPO. The diluted EPS is equal to the basic EPS as there were no potential dilutive ordinary shares outstanding at the end of the respective financial year.

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11.1.2 Combined statements of financial position

The following table sets out a summary of our Group's audited combined statements of financial position for the Financial Period Under Review, which was extracted from the Accountants' Report set out in Section 12 of this Prospectus.

	Audited		
	As at 30 June		
	2023	2024	2025
	RM'000	RM'000	RM'000
Non-current assets			
Plant and equipment	5,439	7,596	13,630
Right-of-use assets	30,846	33,678	55,137
Deferred tax assets	-	534	775
	36,285	**41,808**	**69,542**
Current assets			
Inventories	13,047	23,860	31,703
Trade receivables(1)	4,401	3,403	2,796
Other receivables, deposits and prepayments(2)	6,115	7,475	8,805
Amount owing by related parties	1,118	1,167	2,107
Amount owing by Directors	95	530	-
Fixed deposits with licensed banks	114	114	10,497
Cash and bank balances	761	8,630	11,424
	25,651	**45,179**	**67,332**
Total assets	**61,936**	**86,987**	**136,874**
Equity			
Invested equity	400	400	2,500
(Accumulated losses)/ Retained earnings	(343)	8,302	24,072
Total equity/ Net assets	**57**	**8,702**	**26,572**
Non-current liabilities			
Lease liabilities	25,559	27,022	46,899
Provision for restoration costs	125	214	239
Deferred tax liabilities	-	-	291
	25,684	**27,236**	**47,429**
Current liabilities			
Trade payables	25,046	36,656	40,764
Other payables, deposits received and accruals	2,692	1,804	4,513
Amount owing to related parties	407	877	25
Amount owing to Directors	500	-	4
Lease liabilities	6,363	10,061	12,079
Current tax liabilities	1,187	1,651	5,488
	36,195	**51,049**	**62,873**
Total liabilities	**61,879**	**78,285**	**110,302**
Total equity and liabilities	**61,936**	**86,987**	**136,874**

Notes:

(1) Mainly comprise amounts due from financial institutions for collection-in-transit related to credit and debit card transactions as well as from third-party payment channels that process e-wallet quick response ("**QR**") payments for sales to end customers in our Retail Outlets and e-commerce platforms. Our trade receivables as at 30 June 2025 also include amount due from a departmental store, Keluargaku (M) Sdn Bhd for our consignment sales at its store.

(2) The breakdown of other receivables, deposits and prepayments are as follows:

	Audited		
	As at 30 June		
	2023	**2024**	**2025**
	RM'000	**RM'000**	**RM'000**
Other receivables	-	32	18
Deposits[(i)]	4,528	4,984	7,353
Prepayments[(ii)]	1,587	2,459	1,434
	6,115	**7,475**	**8,805**

Notes:

(i) Mainly comprise security and utilities deposits paid for the Retail Outlets, Subang Warehouse and Head Office.

(ii) Mainly comprise prepaid rental for the Retail Outlets during the Financial Period Under Review as well as prepayment for listing expenses in the FYE 2025.

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11.1.3 Combined statements of cash flows

The following table sets out a summary of our Group's audited combined statements of cash flows for the Financial Period Under Review, which was extracted from the Accountants' Report set out in Section 12 of this Prospectus.

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**
Cash flows from operating activities			
PBT	5,125	11,613	30,970
Adjustments for:			
Amortisation of deferred lease incentive	(50)	(200)	(200)
Depreciation of plant and equipments	762	1,143	1,439
Depreciation of right-of-use-assets	6,342	10,278	12,705
Plant and equipments written off	1,887	161	580
Inventories written down	1,591	1,513	10,883
Interest income	(13)	(136)	(472)
Lease interest	623	1,640	2,342
Unwinding of discount on provision for restoration cost	3	5	7
Reversal of provision of restoration	(84)	(28)	(26)
Loss/(Gain) on lease modification	-	456	(767)
Operating profit before working capital changes	16,186	26,445	57,461
Increase in inventories	(11,317)	(12,327)	(18,727)
Increase in trade and other receivables	(6,040)	(362)	(723)
Increase in trade and other payables	10,418	10,922	7,017
Increase in amount owing by related party	-	-	(1,916)
Cash generated from operations	9,247	24,678	43,112
Tax paid	(13)	(3,038)	(4,313)
Interest income received	13	136	306
Net cash generated from operating activities	**9,247**	**21,776**	**39,105**
Cash flows from investing activities			
Placement of fixed deposits	(114)	-	(10,217)
Purchase of plant and equipments	(1,518)	(2,963)	(8,053)
Incentive received	-	500	-
Net cash used in investing activities	**(1,632)**	**(2,463)**	**(18,270)**
Cash flows from financing activities			
Net movement in amount owing (by)/to related parties	(522)	(510)	511
Net movement in amount owing (by)/to Directors	-	(4)	147
Dividend paid	-	-	(7,000)
Proceeds from issuance of share capital	-	-	2,100
Repayment of lease liabilities	(6,209)	(9,290)	(11,457)
Lease interest paid	(623)	(1,640)	(2,342)
Net cash used in financing activities	**(7,354)**	**(11,444)**	**(18,041)**
Net increase in cash and cash equivalents	261	7,869	2,794
Cash and cash equivalents at the beginning of the financial year	500	761	8,630
Cash and cash equivalents at the end of the financial year	**761**	**8,630**	**11,424**

11.2 MANAGEMENT'S DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

The following management's discussion and analysis of our Group's results of operations and financial condition for the Financial Period Under Review should be read in conjunction with the Accountants' Report included in Section 12 of this Prospectus.

This discussion and analysis contain data derived from our combined financial statements as well as forward-looking statements that reflect our views with respect to future events and our future financial performance. Actual events and results may differ significantly from those anticipated in these forward-looking statements as a result of a number of factors, including those set forth under Risk Factors in Section 8 of this Prospectus.

11.2.1 Overview of our business operations

(a) Principal activities

Our Group is principally involved in the design and retail of fashion products such as apparel, bags and personal accessories marketed under our own Panda Eyes brand. In addition, we also retail a range of third-party merchandises including beauty and personal care products, toys and collectibles as well as home and living products.

Please refer to Section 6.5 of this Prospectus for our Group's detailed business overview.

(b) Revenue

Our revenue is derived from retail and online sales of our fashion products including apparel, bags and personal accessories, as well as third-party merchandises.

Revenue from online sales is recognised upon completion of the online transaction and payment is received from the e-commerce platforms.

Revenue from retail sales (including consignment sales) through our Retail Outlets is recognised when control of the goods is transferred to customers, which occurs upon receipt of the products by customers. Revenue from consignment sales at third-party/ related party store/outlets is recognised upon issuance of monthly invoices. The invoiced amounts are presented net of the agreed trade margins, which ranges between 20.00% to 35.00% of the sales value of the products sold.

All sales transactions of our Group are denominated and settled in RM, which is also the functional and presentation currency of our Group. We do not conduct any sales transactions in foreign currencies. As such, our Group is not exposed to foreign currency risk in respect of revenue transactions.

(c) Cost of sales

Our cost of sales consists of purchases of products and packaging materials costs. Our purchases of products include purchases from our outsourced manufacturers and suppliers (through our appointed third-party trading houses) as well as consignors for their consignment sales at our Retail Outlets.

(d) Other income

Our other income mainly consists of rental income, gain on lease modification, interest income, amortisation of deferred lease incentive, royalty income and reversal of provision for restoration costs.

(e) Selling and distribution expenses

Our selling and distribution expenses mainly consist of e-commerce platform fees, depreciation of right-of-use assets, staff costs (for our Retail Outlets, E-commerce, Warehouse, Marketing, Design, Product and Operations departments), advertisement and promotional expenses, rental expenses for our Retail Outlets, utilities expenses, depreciation of plant and equipment for our Retail Outlets and warehouses as well as commission for our Retail Outlets sales promoters and e-commerce platforms live hosts.

(f) Administrative expenses

Our administrative expenses mainly consist of staff costs (for our Human Resource and Finance departments), depreciation of right-of-use assets (for our Head Office), directors' remuneration and professional fees.

(g) Other operating expenses

Our other operating expenses consist of plant and equipment written off and loss on lease modification.

(h) Finance costs

Our finance costs consist of lease interest and unwinding of discount on provision for restoration costs.

(i) Recent developments

Save for the Acquisition, there were no other significant events subsequent to our Group's audited combined financial statements for the Financial Period Under Review.

(j) Exceptional and extraordinary items and audit qualifications

There were no exceptional or extraordinary items during the Financial Period Under Review. In addition, our audited financial statements for the Financial Period Under Review were not subject to any audit qualifications.

(k) Significant factors affecting our business

Section 8 of this Prospectus details a number of risk factors relating to our business and industry in which we operate in. Some of these risk factors have an impact on our Group's revenue and financial performance. The main factors which affect our revenue and financial performance include but are not limited to the following:

(i) we rely on our Group's brands and reputation to grow our Group's business;

(ii) we rely on various third-parties within our supply chain activities;

(iii) we are exposed to unexpected operational disruptions in our Retail Outlets and on e-commerce platforms which may lead to interruptions in our business operations;

(iv) we face the risk of overstocking inventory, which may become outdated or slow-moving;

(v) our insurance coverage may not adequately protect us against unforeseeable and uncontrollable events; and

(vi) we face risk relating to counterfeiting and IP rights.

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11.2.2 Review of our results of operations

(a) Revenue

Analysis of revenue by product category

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%
Apparel(1)	65,633	68.61	161,234	82.46	155,420	79.74
Bags(2)	13,525	14.14	14,186	7.25	15,011	7.70
Personal accessories(3)	13,808	14.43	16,264	8.32	19,099	9.80
Others(4)	2,696	2.82	3,855	1.97	5,378	2.76
Total	**95,662**	**100.00**	**195,539**	**100.00**	**194,908**	**100.00**

Analysis of sales volume by product category

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	No. of units	Average selling price	No. of units	Average selling price	No. of units	Average selling price
	'000	RM/unit	'000	RM/unit	'000	RM/unit
Apparel(1)	2,153	30.48	5,974	26.99	6,329	24.56
Bags(2)	361	37.47	393	36.10	464	32.35
Personal accessories(3)	748	18.46	911	17.85	1,167	16.37
Others(4)	227	11.88	310	12.44	745	7.22
Total	**3,489**	**27.42**	**7,588**	**25.77**	**8,705**	**22.39**

Notes:

(1) Mainly consists of women's apparel includes tops, bottoms, two-piece sets, one-piece outfits, outerwear as well as scarves.

(2) Mainly consists of handbags, crossbody and shoulder bags, wallets, backpacks and luggages.

(3) Mainly consists of jewellery (such as earrings, bracelets and necklaces), hair accessories, sunglasses and watches.

(4) Mainly consists of beauty and personal care products, toys and collectibles as well as home and living products.

Our apparel is sold through both retail and online sales channels while our bags, personal accessories and other products are only sold through retail sales channels.

Analysis of revenue by sales channel

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%
Online sales[(1)]	42,740	44.68	133,993	68.52	113,962	58.47
Retail sales	52,922	55.32	61,546	31.48	[(2)]80,946	41.53
Total	**95,662**	**100.00**	**195,539**	**100.00**	**194,908**	**100.00**

Notes:

(1) Comprise revenue derived from e-commerce platforms including TikTok Shop and Shopee.

(2) Includes consignment sales of our products and third-party merchandises, amounting to RM1.93 million, representing 0.99% of our Group's revenue for FYE 2025.

Analysis of revenue by geographical locations

During the Financial Period Under Review, our revenue was solely derived from Malaysia. Our retail sales based on the regions in which our Group operates in Malaysia are as follows:

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%
Online sales	42,740	44.68	133,993	68.52	113,962	58.47
Retail sales						
- Central Region	52,922	55.32	61,546	31.48	78,741	40.40
- Southern Region	-	-	-	-	[(1)]255	0.13
- Eastern Region	-	-	-	-	1,950	1.00
	52,922	55.32	61,546	31.48	80,946	41.53
Total	**95,662**	**100.00**	**195,539**	**100.00**	**194,908**	**100.00**

Note:

(1) Comprises consignment sales of our Panda Eyes brand apparel.

Analysis on Same Store Sales Growth ("SSSG")

SSSG is a measure of the growth in the revenue generated by our Retail Outlets during a period compared to the revenue generated by the same Retail Outlets during the corresponding period of the same duration in the immediate preceding year. The following table shows the SSSG of our Retail Outlets during the Financial Period Under Review:

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
SSSG[(1)]	92.44%	27.53%	19.37%
Number of Retail Outlets included in the calculation of SSSG[(2)]	10	13	15
Number of Retail Outlets as at end of the financial year	19	19	22

Notes:

(1) The SSSG of our Retail Outlets for each financial year is computed by dividing (a) the revenue generated by our Retail Outlets during that period after deducting the revenue generated by those same Retail Outlets during the corresponding period of the same duration in the immediate preceding year, by (b) the revenue generated by those same Retail Outlets during the corresponding period of the same duration in the immediate preceding year.

(2) These Retail Outlets are those which were operational for 2 full financial years up to the respective financial year end. Our Group's other Retail Outlets comprised either new retail outlets which opened less than 2 years before the respective financial year end or Retail Outlets which have closed prior to the end of the respective financial year and have therefore been excluded from the analysis above.

In FYE 2023, we recorded SSSG of 92.44%, primarily due to higher revenue recorded from our Retail Outlets at Berjaya Times Square, Bukit Bintang and MyTown Shopping Centre. The increase was mainly driven by higher foot traffic at these Retail Outlets, following the easing of movement control measures and the relaxation of entry restrictions for travellers to Malaysia post COVID-19 pandemic.

In FYE 2024, we recorded SSSG of 27.53%, primarily due to higher revenue recorded from our Retail Outlets at Bukit Bintang, Berjaya Times Square, Petaling Street and MyTown Shopping Centre, mainly driven by higher foot traffic at these Retail Outlets. In addition, we have recorded higher revenue from our Retail Outlets at KWC Fashion Wholesale, mainly due to higher apparel sales following a shift in focus to sell apparel instead of bags and personal accessories since July 2023.

In FYE 2025, we recorded SSSG of 19.37%, primarily due to higher revenue recorded from our Retail Outlets at MyTown Shopping Centre, IOI City Mall, Jalan Tuanku Abdul Rahman, KWC Fashion Wholesale and I-City Mall. This was mainly driven by higher foot traffic at these Retail Outlets following the enhanced advertising and promotional activities which boosted our brand visibility and attracted more customers to shop at our Retail Outlets.

Comparison between FYE 2023 and FYE 2024

Our Group's total revenue increased by RM99.88 million or 104.41% from RM95.66 million in FYE 2023 to RM195.54 million in FYE 2024. The increase was due to higher revenue contributions across all our product categories, mainly contributed by the increase in revenue from our apparel products.

Revenue from apparel increased by RM95.60 million or 145.67% from RM65.63 million in FYE 2023 to RM161.23 million in FYE 2024. However, the average selling price for apparel decreased by 11.45% from RM30.48 in FYE 2023 to RM26.99 in FYE 2024. Despite the decrease in average selling price, the increase in revenue for our apparel was attributed to the increase in sales volume by 177.67% from 2.15 million pieces in FYE 2023 to 5.97 million pieces in FYE 2024. The increase in sales volume of apparel was primarily attributable to:

(i) the expansion of our online presence during FYE 2024 through the launch of our online store on Shopee in October 2023, in addition to our TikTok Shop which was launched in August 2022; and

(ii) the expansion of our live selling activities by increasing the number of live hosts and extending the duration of our live selling sessions on TikTok Shop and Shopee, thereby enhancing our brand visibility and customer reach.

Revenue from our bags, personal accessories and other products categories collectively increased by RM4.28 million or 14.25% in FYE 2024. However, the overall average selling price for these 3 product categories decreased by 5.47% from RM22.48 in FYE 2023 to RM21.25 in FYE 2024. Despite the lower average selling price, the increase in revenue from these 3 product categories was due to a collective increase in sales volume by 0.27 million pieces or 20.15%, from a total of 1.34 million pieces in FYE 2023 to a total of 1.61 million pieces in FYE 2024. The increase in sales volume of these 3 product categories was primarily due to the net effects of the following:

(i) higher sales volume recorded at our Retail Outlets at Bukit Bintang, Berjaya Times Square, Petaling Street and MyTown Shopping Centre, which collectively increased by 0.22 million pieces, mainly due to higher foot traffic at these Retail Outlets as well as enhanced advertising and promotional activities that boosted our brand visibility and attracted more customers to shop at our Retail Outlets;

(ii) full-year contribution to sales volume in FYE 2024 from 5 new Retail Outlets that commenced operations during FYE 2023, which collectively contributed an additional 0.10 million pieces in FYE 2024; and

(iii) decrease of 0.06 million pieces from Retail Outlets at KWC Fashion Wholesale, primarily due to the shift in focus of both outlets to sell apparel instead of bags and personal accessories since July 2023.

In terms of sales channels, revenue from our online sales increased by RM91.25 million or 213.50%, from RM42.74 million in FYE 2023 to RM133.99 million in FYE 2024. The increase was mainly due to our strategy to expand sales of our apparel through e-commerce platforms as mentioned above.

Revenue from our retail sales increased by RM8.63 million or 16.31%, from RM52.92 million in FYE 2023 to RM61.55 million in FYE 2024. The increase was mainly attributable to:

(i) higher revenue recorded at our Retail Outlets at Bukit Bintang, Berjaya Times Square, Petaling Street and MyTown Shopping Centre, which collectively increased by RM6.03 million in FYE 2024, mainly due to higher foot traffic at these Retail Outlets. Meanwhile, higher revenue was also recorded at our Retail Outlets at KWC Fashion Wholesale, which collectively increased by RM3.28 million in FYE 2024, mainly due to higher apparel sales following the shift in focus of both outlets to sell apparel instead of bags and personal accessories since July 2023;

(ii) full-year revenue contribution in FYE 2024 from 5 new Retail Outlets that commenced operations during FYE 2023, which collectively contributed an additional revenue of RM2.82 million in FYE 2024; and

(iii) additional revenue contribution of RM0.69 million in FYE 2024 from a new Retail Outlet opened in the Central Region during FYE 2024.

However, the overall increase in revenue from our retail sales was partially offset by the lower contribution from a Retail Outlet that closed during FYE 2024 as the tenancy of the said Retail Outlet was not extended by the mall management upon expiry in October 2023, resulting in a decrease in revenue of RM4.51 million.

Comparison between FYE 2024 and FYE 2025

Our Group's total revenue decreased marginally by RM0.63 million or 0.32% from RM195.54 million in FYE 2024 to RM194.91 million in FYE 2025. The decrease was primarily attributable to lower revenue contribution from our apparel products, notwithstanding higher revenue contributions from our bags, personal accessories and other product categories.

Revenue from apparel decreased by RM5.81 million or 3.60% from RM161.23 million in FYE 2024 to RM155.42 million in FYE 2025. However, the sales volume for apparel increased by 6.03% from 5.97 million pieces in FYE 2024 to 6.33 million pieces in FYE 2025. Despite the increase in sales volume, the decrease in our apparel revenue was attributed to the decrease in average selling price by 9.00% from RM26.99 in FYE 2024 to RM24.56 in FYE 2025. The reduction in average selling price was due to a shift in product mix, where we sold a higher proportion of lower-priced apparel products during the financial year.

Revenue from our bags, personal accessories and other products categories collectively increased by RM5.18 million or 15.10% in FYE 2025. However, the overall average selling price for these 3 product categories decreased by 21.79% from RM21.25 in FYE 2024 to RM16.62 in FYE 2025. Despite the lower average selling price, the increase in revenue from these 3 product categories was due to a collective increase in sales volume by 0.77 million pieces or 47.83% from a total of 1.61 million pieces in FYE 2024 to a total of 2.38 million pieces in FYE 2025. The increase in sales volume of these 3 product categories was primarily attributable to:

(i) the opening of 8 new Retail Outlets during FYE 2025, which collectively contributed an additional 0.22 million pieces in sales volume;

(ii) the sales of personal accessories, bags, beauty and personal care products as well as toys and collectibles to a related party during FYE 2025, which collectively contributed an additional 0.24 million pieces in sales volume; and

(iii) higher sales volume recorded at our Retail Outlets at Petaling Street, MyTown Shopping Centre and IOI City Mall, which collectively increased by 0.14 million pieces, mainly due to higher foot traffic at these Retail Outlets following the enhanced advertising and promotional activities which boosted our brand visibility and attracted more customers to shop at our Retail Outlets.

In terms of sales channels, revenue from our online sales decreased by RM20.03 million or 14.95%, from RM133.99 million in FYE 2024 to RM113.96 million in FYE 2025. The decrease was primarily due to our strategic decision to streamline our online product assortment as we redirected resources and inventory towards expanding our physical Retail Outlets network in the Central Region and Eastern Region. This strategic shift enabled us to offer customers a broader product range in-store, enhance brand visibility and strengthen our physical market presence.

Revenue from retail sales increased by RM19.40 million or 31.52%, from RM61.55 million in FYE 2024 to RM80.95 million in FYE 2025. The increase was mainly attributable to:

(i) additional revenue contribution of RM9.41 million in FYE 2025 from the opening of 7 new Retail Outlets in the Central Region and 1 new Retail Outlet in the Eastern Region during FYE 2025;

(ii) higher revenue recorded at our Retail Outlets at MyTown Shopping Centre, IOI City Mall, Jalan Tuanku Abdul Rahman, KWC Fashion Wholesale and Central I-City Mall, which collectively increased by RM6.68 million in FYE 2025, mainly driven by higher foot traffic at these Retail Outlets following the enhanced advertising and promotional activities which boosted our brand visibility and attracted more customers to shop at our Retail Outlets; and

(iii) the sale of personal accessories, bags, beauty and personal care products, apparel as well as toys and collectibles to a related party during FYE 2025, which collectively contributed additional revenue of RM3.05 million.

(b) Cost of sales, GP and GP margin

Analysis of cost of sales by cost components

	Audited					
	FYE 2023		**FYE 2024**		**FYE 2025**	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**
Purchases of products[(1)]	66,193	99.80	134,470	99.61	106,854	98.59
Packaging materials costs	132	0.20	531	0.39	1,524	1.41
Total	**66,325**	**100.00**	**135,001**	**100.00**	**108,378**	**100.00**

Note:

(1) Represents purchases of apparel, bags, personal accessories and other products, net-off inventory movement during the respective financial year.

Analysis of cost of sales by product category

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%
Apparel	47,038	70.92	113,066	83.75	89,505	82.59
Bags	9,113	13.74	9,501	7.04	7,700	7.10
Personal accessories	8,489	12.80	10,091	7.47	8,548	7.89
Others	1,685	2.54	2,343	1.74	2,625	2.42
Total	**66,325**	**100.00**	**135,001**	**100.00**	**108,378**	**100.00**

Analysis of cost of sales by sales channel

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%
Online sales	31,024	46.78	94,882	70.28	67,740	62.50
Retail sales	35,301	53.22	40,119	29.72	40,638	37.50
Total	**66,325**	**100.00**	**135,001**	**100.00**	**108,378**	**100.00**

Comparison between FYE 2023 and FYE 2024

Our Group's total cost of sales increased by RM68.67 million or 103.53% from RM66.33 million in FYE 2023 to RM135.00 million in FYE 2024. The increase was attributable to:

(i) increase in purchases of products across all our product categories amounting to RM68.28 million, in line with the revenue growth recorded by the respective product categories during the financial year; and

(ii) increase in packaging materials costs by RM0.40 million, mainly due to bulk purchases of packaging materials such as plastic and paper bags as well as plastic mailers to support the growing sales volume during the financial year.

Comparison between FYE 2024 and FYE 2025

Our Group's total cost of sales decreased by RM26.62 million or 19.72% from RM135.00 million in FYE 2024 to RM108.38 million in FYE 2025, despite only a marginal decrease in our Group's total revenue of RM0.63 million or 0.32% in FYE 2025. The decrease in cost of sales was primarily driven by a decrease in purchase of products by RM27.62 million across our major product categories, as we were able to secure more favourable pricing from our trading houses, and ultimately from our outsourced manufacturers and suppliers in China which resulted in better cost savings.

However, the overall decrease in our Group's cost of sales was partially offset by the increase in packaging materials costs by RM0.99 million, mainly due to bulk purchases of packaging materials such as plastic and paper bags to support the growing sales volume and in preparation for the opening of 4 new Retail Outlets in August 2025.

Analysis of GP and GP margin by product category

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	GP	GP margin	GP	GP margin	GP	GP margin
	RM'000	%	RM'000	%	RM'000	%
Apparel	18,595	28.33	48,168	29.87	65,915	42.41
Bags	4,412	32.62	4,685	33.03	7,311	48.70
Personal accessories	5,319	38.52	6,173	37.95	10,551	55.24
Others	1,011	37.50	1,512	39.22	2,753	51.19
Total	**29,337**	**30.67**	**60,538**	**30.96**	**86,530**	**44.40**

Analysis of GP and GP margin by sales channel

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	GP	GP margin	GP	GP margin	GP	GP margin
	RM'000	%	RM'000	%	RM'000	%
Online sales	11,716	27.41	39,111	29.19	46,222	40.56
Retail sales	17,621	33.30	21,427	34.81	40,308	49.80
Total	**29,337**	**30.67**	**60,538**	**30.96**	**86,530**	**44.40**

Comparison between FYE 2023 and FYE 2024

Our Group's total GP increased by RM31.20 million or 106.34%, from RM29.34 million in FYE 2023 to RM60.54 million in FYE 2024, in line with the growth of our Group's total revenue, while our Group's overall GP margin increased slightly from 30.67% in FYE 2023 to 30.96% in FYE 2024.

The slight increase in our Group's overall GP margin in FYE 2024 was mainly attributable to the net effects of the following:

(a) higher proportion of revenue contribution from apparel, which accounted for 82.46% of total revenue in FYE 2024 (FYE 2023: 68.61%), where the average GP margin of apparel increased as there were higher sales of apparel products with higher margin during FYE 2024; and

(b) decrease in the average GP margin of personal accessories in FYE 2024, as there were higher sales of personal accessories products with lower margin during FYE 2024.

In terms of sales channels, the increase in our Group's overall GP margin in FYE 2024 was contributed by higher GP margin derived from both our online and retail sales. These improvements were mainly attributable to changes in product mix and sales composition at our e-commerce platforms and Retail Outlets, with a greater proportion of higher margin products, such as tops and bottoms within the apparel category, as well as beauty and personal care products within other products category sold during FYE 2024.

Comparison between FYE 2024 and FYE 2025

Our Group's total GP increased by RM25.99 million or 42.93% from RM60.54 million in FYE 2024 to RM86.53 million in FYE 2025, despite a marginal decrease in our Group's total revenue by RM0.63 million. Our Group's overall GP margin increased from 30.96% in FYE 2024 to 44.40% in FYE 2025.

The increase in our Group's overall GP margin in FYE 2025 was attributable to margin improvements across all product categories, with the increase in average GP margin for each product category ranging from 11.97% to 17.29% during the financial year. The improvement in GP margin across all product categories was primarily driven by greater reduction in the average purchase cost of products compared to the reduction in the average selling price of the products sold during the year. This was in turn supported by cost savings arising from more favourable pricing secured through our Group's third-party trading houses, and ultimately from the outsourced manufacturers and suppliers in China.

The improvement in our Group's overall GP margin was further supported by a higher proportion of sales from higher margin products across all product categories during FYE 2025. These products included jewellery within the personal accessories category, wallets, crossbody and shoulder bags within the bags category, tops and bottoms within the apparel category, as well as perfumes within the other products category.

In terms of sales channels, the increases in our Group's overall GP margin in FYE 2025 was contributed by higher GP margin derived from both our retail and online sales. These improvements were driven by the cost savings from our outsourced manufacturers and suppliers as well as higher proportion of sales derived from higher margin products as stated above.

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(c) Other income

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%
Amortisation of deferred lease incentive(1)	50	22.62	200	11.86	200	5.04
Deposits refunded(2)	72	32.58	-	-	-	-
Gain on lease modification	-	-	-	-	767	19.33
Interest income(3)	13	5.88	136	8.07	472	11.90
Rental income(4)	-	-	1,295	76.81	2,330	58.73
Reversal of provision for restoration costs(5)	84	38.01	28	1.66	26	0.66
Royalty income(6)	-	-	25	1.48	134	3.38
Others(7)	2	0.91	2	0.12	38	0.96
Total	**221**	**100.00**	**1,686**	**100.00**	**3,967**	**100.00**

Notes:

(1) Relates to the amortisation of a lease incentive of RM0.60 million granted by the landlord to subsidise the fit-out works for our Retail Outlet at Quill City Mall in FYE 2023. This lease incentive is recognised as deferred income and amortised over the 36-month lease term.

(2) Relates to security deposits refunded by landlords following the termination of lease arrangements of our Retail Outlets.

(3) Related to interest income received from fixed deposits with licensed banks, current account and interest derived from advances provided to a related party.

(4) Relates to rental income from subletting of Retail Outlets in Kuala Lumpur and rental of live streaming studio and equipment.

(5) Relates to reversal of the balance of provision for restoration costs which was not utilised following lease renewals of our Retail Outlets or where no restoration was required upon lease termination.

(6) Relates to the royalty income received from a brand licensee for the sales of perfume under our "Panda Eyes" brand through its own live selling sessions.

(7) Mainly relates to derecognition of rental payable to a landlord which was wound up and compensation received from Inland Revenue Board for delayed refund of overpaid taxes.

Comparison between FYE 2023 and FYE 2024

Our Group's other income increased by RM1.47 million or 668.18% from RM0.22 million in FYE 2023 to RM1.69 million in FYE 2024. The increase was mainly attributable to:

(i) rental income of RM1.30 million in FYE 2024, mainly arising from the rental of retail space in our Retail Outlets during FYE 2024. There was no rental income in FYE 2023; and

(ii) increase in amortisation of deferred lease incentive by RM0.15 million, as a result of full year amortisation in FYE 2024 as compared to 3 months in FYE 2023.

Comparison between FYE 2024 and FYE 2025

Our Group's other income increased by RM2.28 million or 134.91% from RM1.69 million in FYE 2024 to RM3.97 million in FYE 2025. The increase was mainly attributable to:

(i) increase in rental income by RM1.03 million, mainly arising from the rental of retail space in our Retail Outlets in Klang Valley as well as rental of our live streaming studio and equipment during FYE 2025;

(ii) gain on lease modification of RM0.77 million in FYE 2025, arising from the early termination of existing lease arrangements for our Retail Outlets, which were subsequently replaced with revised lease terms under new lease arrangements. There was no gain on lease modification in FYE 2024; and

(iii) increase in interest income by RM0.33 million, mainly arising from the placement of fixed deposits in February 2025, coupled with higher interest earned from the higher bank balances maintained in our current account.

(d) Selling and distribution expenses

	Audited					
	FYE 2023		**FYE 2024**		**FYE 2025**	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**
Advertisement and promotion	1,447	7.06	1,840	3.95	3,135	5.87
Commission[(1)]	366	1.79	782	1.68	1,017	1.90
Depreciation of plant and equipment[(2)]	622	3.04	898	1.93	1,137	2.13
Depreciation of right-of-use assets	6,342	30.95	10,278	22.06	12,092	22.64
E-commerce platform fees[(3)]	2,911	14.21	17,256	37.04	19,145	35.84
Rental expenses[(4)]	1,665	8.13	1,399	3.00	1,649	3.09
Staff costs	4,756	23.21	10,298	22.11	10,718	20.07
Utilities expenses	1,347	6.57	1,508	3.24	1,499	2.81
Others[(5)]	1,034	5.04	2,323	4.99	3,019	5.65
Total	**20,490**	**100.00**	**46,582**	**100.00**	**53,411**	**100.00**

Notes:

(1) Relates to sales commission paid to sales promoters of our Retail Outlets and e-commerce platforms live hosts.

(2) Relates to assets utilised in facilitating the sales and distribution operations of our Group such as renovation cost capitalised, furniture, fittings and equipment for our Retail Outlets.

(3) Relates to platform fees charged by TikTok Shop and Shopee, such as transaction fees, commission fees and service fees.

(4) Relates to short-term leases for our Retail Outlets and temporary warehouse, as well as rental of vehicles and office equipment.

(5) Mainly comprises security charges, repair and maintenance expenses for our Retail Outlets, payment processing charges, royalty charges from designing and retailing themed merchandise products featuring popular animated characters, as well as interior design fees for our Retail Outlets.

Comparison between FYE 2023 and FYE 2024

Our Group's selling and distribution expenses increased by RM26.09 million or 127.33% from RM20.49 million in FYE 2023 to RM46.58 million in FYE 2024. The increase was mainly attributable to:

(i) increase in e-commerce platforms fees by RM14.35 million, mainly due to increased number of online transactions on the e-commerce platforms during FYE 2024, in line with the higher revenue generated from our online sales channel;

(ii) increase in staff costs by RM5.54 million, mainly due to net increase of 116 new employees to support our business expansion;

(iii) increase in depreciation of right-of-use assets by RM3.94 million, mainly due to full year depreciation for a newly leased Retail Outlet at Bukit Bintang that commenced operations in June 2023. The increase was also partially attributable to higher depreciation for an existing Retail Outlet located at Bukit Bintang following an upward revision of its lease payment since April 2023; and

(iv) increase in commission by RM0.42 million, in line with the growth in revenue from both our online and retail sales.

Comparison between FYE 2024 and FYE 2025

Our Group's selling and distribution expenses increased by RM6.83 million or 14.66% from RM46.58 million in FYE 2024 to RM53.41 million in FYE 2025. The increase was mainly attributable to:

(i) increase in e-commerce platforms fees by RM1.89 million, mainly due to fee paid for our participation in TikTok Shop's bonus cashback programme during FYE 2025 to enhance shopper engagement, encourage repeat purchases and improve order conversion;

(ii) increase in depreciation of right-of-use assets by RM1.81 million, mainly due to higher depreciation for our Subang Warehouse, arising from a full year depreciation in FYE 2025 as compared to 6 months in FYE 2024. The increase was also partially attributable to the addition of new lease arrangements for our Retail Outlets during the year;

(iii) increase in advertisement and promotion expenses by RM1.30 million, mainly due to higher marketing fee paid to Shopee and TikTok Shop to enhance our brand visibility on the respective e-commerce platforms, drive greater online traffic and attract more customers to both our online stores and physical Retail Outlets;

(iv) increase in staff costs by RM0.42 million, mainly due to net increase of 57 new employees to support our business expansion in physical Retail Outlets;

(v) increase in rental expenses by RM0.25 million, mainly due to higher gross revenue-based rental incurred for our Retail Outlets in shopping malls, in line with the increase in revenue generated by these outlets during the financial year; and

(vi) increase in depreciation of plant and equipment by RM0.24 million, mainly due to capitalisation of renovation cost incurred for our existing and new Retail Outlets, as well as the purchase of furniture and fittings during FYE 2025.

(e) Administrative expenses

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%
Depreciation of plant and equipment[1]	140	9.79	245	13.87	302	9.48
Depreciation of right-of-use assets	-	-	-	-	613	19.23
Directors' remuneration	36	2.52	76	4.30	463	14.53
Penalty	~	~	-	-	[2]303	9.51
Professional fees	131	9.16	287	16.24	411	12.90
Service and maintenance fees	1	0.07	-	-	[3]45	1.41
Staff costs	1,021	71.40	1,035	58.57	939	29.46
Others[3]	101	7.06	124	7.02	111	3.48
Total	**1,430**	**100.00**	**1,767**	**100.00**	**3,187**	**100.00**

Notes:

~ Represents less than RM1,000 or 0.01%.

(1) Relates to assets utilised in supporting the general operations of our Group such as motor vehicles and furniture, fittings and equipment for our Head Office.

(2) Relates to penalties arising from the underestimation of tax for the year of assessment ("**YA**") 2025 and YA 2024, additional tax assessment for YA 2022 following a tax audit, penalties for unpaid tax instalment for YA 2024 as well as late payment of Human Resources Development Fund (HRDF) contributions.

(3) Relates to monthly service and maintenance fee for our Head Office, following the commencement of tenancy in September 2024.

(4) Mainly comprises of upkeep expenses, printing and stationery, web hosting and domain fee and other miscellaneous administrative expenses.

Comparison between FYE 2023 and FYE 2024

Our Group's administrative expenses increased by RM0.34 million or 23.78% from RM1.43 million in FYE 2023 to RM1.77 million in FYE 2024. The increase was mainly attributable to:

(i) increase in professional fees by RM0.16 million, mainly due to increase in auditors' remuneration;

(ii) increase in depreciation of plant and equipment by RM0.11 million, mainly due to the purchase of motor vehicles, office equipment as well as furniture and fittings in FYE 2024; and

(iii) increase in directors' remuneration by RM0.04 million, following the appointment of our Managing Director, Wang LiangLong in May 2024.

Comparison between FYE 2024 and FYE 2025

Our Group's administrative expenses increased by RM1.42 million or 80.23% from RM1.77 million in FYE 2024 to RM3.19 million in FYE 2025. The increase was mainly attributable to:

(i) depreciation of right-of-use assets of RM0.61 million in FYE 2025, arising from the commencement of the rental lease arrangement for our Head Office in September 2024;

(ii) increase in directors' remuneration by RM0.38 million, primarily due to the full year recognition of remuneration for our Managing Director Wang LiangLong in FYE 2025, compared to only 2 months remuneration recognised in FYE 2024, as well as the appointment of our Executive Director, Wong Yin Yee in August 2024; and

(iii) penalties of RM0.30 million in FYE 2025, mainly arising from the underestimation of tax for the YA 2025 and YA 2024.

(f) Other operating expenses

	Audited					
	FYE 2023		**FYE 2024**		**FYE 2025**	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**
Loss on lease modification	-	-	456	73.91	-	-
Plant and equipment written off	1,887	100.00	161	26.09	580	100.00
Total	**1,887**	**100.00**	**617**	**100.00**	**580**	**100.00**

Comparison between FYE 2023 and FYE 2024

Our Group's other operating expenses decreased by RM1.27 million or 67.20% from RM1.89 million in FYE 2023 to RM0.62 million in FYE 2024. The decrease was mainly due to reduction of plant and equipment written off by RM1.73 million in FYE 2024. We have written off plant and equipment including renovation, furniture and fittings and office equipment in FYE 2023 due to closure of Retail Outlets during or prior to FYE 2023, which did not recur in FYE 2024.

However, the decrease in our Group's other operating expenses was partially offset by a one-off loss on lease modification of RM0.46 million in FYE 2024, mainly arising from the change in lease term following the upward revision of monthly rental for our Retail Outlet at Bukit Bintang.

Comparison between FYE 2024 and FYE 2025

Our Group's other operating expenses decreased by RM0.04 million or 6.45% from RM0.62 million in FYE 2024 to RM0.58 million in FYE 2025, mainly due to the non-recurrence of the one-off loss on lease modification in FYE 2024 as mentioned above.

However, the decrease in our Group's other operating expenses was partially offset by the increase in the plant and equipment written off by RM0.42 million, arising from replacement of old assets with new assets following store refurbishments.

(g) Finance costs

	Audited					
	FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%
Lease interest	623	99.52	1,640	99.70	2,342	99.70
Unwinding of discount on provision for restoration costs[(1)]	3	0.48	5	0.30	7	0.30
Total	**626**	**100.00**	**1,645**	**100.00**	**2,349**	**100.00**

Note:

(1) Relates to accretion of interest on the present value of provision for restoration costs.

Comparison between FYE 2023 and FYE 2024

Our Group's finance costs increased by RM1.02 million or 161.90% from RM0.63 million in FYE 2023 to RM1.65 million in FYE 2024. The increase was mainly attributable to increase in lease interest of RM1.02 million, primarily arising from the full year recognition of lease interest for our newly leased Retail Outlet at Bukit Bintang which commenced operations in June 2023 as well as the additional rental lease arrangement for our Subang Warehouse entered into during FYE 2024.

Comparison between FYE 2024 and FYE 2025

Our Group's finance costs increased by RM0.70 million or 42.42% from RM1.65 million in FYE 2024 to RM2.35 million in FYE 2025. The increase was attributable to increase in lease interest of RM0.70 million, mainly arising from new rental lease arrangements for our Retail Outlets entered into during FYE 2025.

(h) Tax expenses

	Audited		
	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000
Tax expenses	1,256	2,968	8,200
Effective tax rate (%)	24.51	25.56	26.48
Statutory tax rate (%)	24.00	24.00	24.00

Our Group's effective tax rate of 24.51% in FYE 2023, 25.56% in FYE 2024 and 26.48% in FYE 2025 were higher than the statutory tax rate of 24.00%, mainly due to add back of certain expenses incurred which were not tax deductible such as depreciation of right-of-use assets, depreciation of non-qualifying plant and equipment (i.e. motor vehicles and renovation) as well as plant and equipment written off.

(i) PBT, PAT, PBT margin and PAT margin

	Audited		
	FYE 2023	FYE 2024	FYE 2025
PBT (RM'000)	5,125	11,613	30,970
PAT (RM'000)	3,869	8,645	22,770
PBT margin (%)	5.36	5.94	15.89
PAT margin (%)	4.04	4.42	11.68

Comparison between FYE 2023 and FYE 2024

Our Group recorded an increase in PBT by RM6.48 million or 126.32% from RM5.13 million in FYE 2023 to RM11.61 million in FYE 2024 and an increase in PAT by RM4.78 million or 123.51% from RM3.87 million in FYE 2023 to RM8.65 million in FYE 2024. The increase in both PBT and PAT were mainly attributed to the increase in GP, partially offset by the increase in selling and distribution expenses in FYE 2024 as mentioned above.

Our PBT margin remained relatively consistent at 5.36% and 5.94% in FYE 2023 and FYE 2024, respectively, while our PAT margin remained relatively consistent at 4.04% and 4.42% in FYE 2023 and FYE 2024, respectively.

Comparison between FYE 2024 and FYE 2025

Our Group recorded an increase in PBT by RM19.36 million or 166.75% from RM11.61 million in FYE 2024 to RM30.97 million in FYE 2025 and an increase in PAT by RM14.12 million or 163.24% from RM8.65 million in FYE 2024 to RM22.77 million in FYE 2025. The increase in both PBT and PAT were mainly attributed to the increase in GP, partially offset by the increase in selling and distribution expense in FYE 2025 as mentioned above.

Our PBT margin improved from 5.94% in FYE 2024 to 15.89% in FYE 2025, whereas our PAT margin improved from 4.42% in FYE 2024 to 11.68% in FYE 2025. The improvement of our PBT margin and PAT margin was mainly attributable to the increase in our GP margin by 13.44% in FYE 2025.

11.2.3 Review of cash flow position

	Audited		
	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000
Net cash generated from operating activities	9,247	21,776	39,105
Net cash used in investing activities	(1,632)	(2,463)	(18,270)
Net cash used in financing activities	(7,354)	(11,444)	(18,041)
Net increase in cash and cash equivalents	261	7,869	2,794
Cash and cash equivalents at the beginning of the financial year	500	761	8,630
Cash and cash equivalents at the end of the financial year	**761**	**8,630**	**11,424**
Cash and cash equivalents at the end of the financial year comprise:			
Cash in hand	274	509	766
Cash at bank	487	8,121	10,658
Fixed deposits with licensed bank	114	114	10,497
	875	8,744	21,921
Less: Fixed deposits pledged to licensed bank	(114)	(114)	(120)
Less: Deposits with maturities of more than 3 months	-	-	(10,377)
	761	**8,630**	**11,424**

FYE 2023

Net cash generated from operating activities

Our Group recorded net cash generated from operating activities of RM9.25 million in FYE 2023. We collected RM91.41 million mainly from the following:

(i) RM91.40 million from our customers; and

(ii) interest income of RM0.01 million.

The above collections were partially offset by cash payments of RM82.16 million in respect of the following:

(i) payment to our suppliers of RM68.32 million;

(ii) staff cost and directors' remuneration of RM5.51 million, including salaries, allowances, commission and statutory contributions;

(iii) rental paid of RM8.32 million for Retail Outlets, staff's accommodation, promotion space and office equipment under short-term rental or rental lease arrangements; and

(iv) tax paid of RM0.01 million.

Net cash used in investing activities

Our Group recorded net cash used in investing activities of RM1.63 million in FYE 2023, due to the following:

(i) purchase of plant and equipment amounting to RM1.52 million, including renovation cost incurred, office equipment, furniture and fittings for our Retail Outlets as well as motor vehicles; and

(ii) placement of fixed deposits of RM0.11 million.

Net cash used in financing activities

Our Group recorded net cash used in financing activities of RM7.35 million in FYE 2023, due to the following:

(i) repayment of lease liabilities of RM6.21 million;

(ii) payment of lease interest of RM0.62 million; and

(iii) advances to related parties amounting to RM0.52 million.

FYE 2024

Net cash generated from operating activities

Our Group recorded net cash generated from operating activities of RM21.78 million in FYE 2024. We collected RM197.75 million mainly from the following:

(i) RM196.53 million from our customers;

(ii) rental income of RM1.08 million; and

(iii) interest income of RM0.14 million.

The above collections were partially offset by cash payments of RM175.97 million in respect of the following:

(i) payment to our suppliers of RM148.30 million;

(ii) staff cost and directors' remuneration of RM12.73 million, including salaries, allowances, commission and statutory contributions;

(iii) rental paid of RM11.90 million for Retail Outlets, Subang Warehouse, vehicles and office equipment under short-term rental or rental lease arrangements; and

(iv) tax paid of RM3.04 million.

Net cash used in investing activities

Our Group recorded net cash used in investing activities of RM2.46 million in FYE 2024, mainly due to purchase of plant and equipment amounting to RM2.96 million, including renovation cost incurred, motor vehicles, furniture and fittings, office equipment, alarm systems as well as signboards for both new and Retail Outlets.

The aforesaid net cash used in investing activities was partially offset by a lease incentive of RM0.50 million received from our landlord as a subsidy for the renovation of our Retail Outlet at KSL Esplanade Mall. This lease incentive is netted against the cost of the right-of-use assets in accordance with MFRS 16. This offsetting reduces the total lease payments over the lease term.

Net cash used in financing activities

Our Group recorded net cash used in financing activities of RM11.44 million in FYE 2024, due to the following:

(i) repayment of lease liabilities of RM9.29 million;

(ii) payment of lease interest of RM1.64 million; and

(iii) net advances to related parties and a Director, collectively amounting to RM0.51 million.

FYE 2025

Net cash generated from operating activities

Our Group recorded net cash generated from operating activities of RM39.11 million in FYE 2025. We collected RM196.28 million mainly from the following:

(i) RM193.51 million from our customers;

(ii) rental income of RM2.31 million;

(iii) interest income of RM0.31 million; and

(iv) royalty income of RM0.15 million.

The above collections were partially offset by cash payments of RM157.17 million in respect of the following:

(i) payment to our suppliers of RM125.21 million;

(ii) staff cost and directors' remuneration of RM12.70 million, including salaries, allowances, commission and statutory contributions;

(iii) rental paid of RM14.95 million for Retail Outlets, Subang Warehouse, staff's accommodation, vehicles and office equipment under short-term rental or rental lease arrangement; and

(iv) tax paid of RM4.31 million.

Net cash used in investing activities

Our Group recorded net cash used in investing activities of RM18.27 million in FYE 2025, due to the following:

(i) placement of fixed deposits amounting to RM10.22 million; and

(ii) purchase of plant and equipment amounting to RM8.05 million, including renovation cost incurred for refurbishment of existing Retail Outlets and opening of new Retail Outlets, furniture and fittings and office equipment.

Net cash used in financing activities

Our Group recorded net cash used in financing activities of RM18.04 million in FYE 2025, due to the following:

(i) repayment of lease liabilities of RM11.46 million;

(ii) payment of dividend to our shareholders of RM7.00 million; and

(iii) payment of lease interest of RM2.34 million.

The aforesaid net cash used in financing activities was partially offset by the proceeds from the issuance of share capital amounting to RM2.10 million, net repayment of advances received from related parties and Directors, collectively amounting to RM0.66 million.

11.3 LIQUIDITY AND CAPITAL RESOURCES

11.3.1 Working capital

We finance our operations with cash generated from operation, credit extended by our suppliers and/or financial institutions as well as cash and bank balances. The facilities from financial institutions comprise finance leases.

Our Board confirms that we have sufficient working capital for our existing and foreseeable requirements for a period of 12 months from the date of this Prospectus, after taking into consideration the following:

(a) our cash and cash equivalents of RM22.27 million as at the LPD; and

(b) our expected future cash flows from operations.

We carefully consider our cash position and ability to obtain further financing before making significant capital commitments.

11.3.2 Borrowings

All of our borrowings are secured, interest-bearing and denominated in RM. Our total outstanding borrowings (excluding lease liabilities arising from rental lease arrangements of RM58.59 million) as at 30 June 2025 stood at RM0.39 million, details of which are set out below:

Type of facility	Purpose	Security	Tenure	Effective interest rate %	As at 30 June 2025 RM'000
Interest bearing short-term borrowings, payable within 1 year:					
Hire purchase	Purchase of motor vehicles	(a) motor vehicles under finance lease (b) guaranteed by the former director of our Group, Wong Soon Woh	2 to 5 years	2.28% to 3.67%	139
				Subtotal	**139**
Interest bearing long-term borrowings, payable after 1 year:					
Hire purchase	Purchase of motor vehicles	(a) motor vehicles under finance lease (b) guaranteed by the former director of our Group, Wong Soon Woh	2 to 5 years	2.28% to 3.67%	248
				Subtotal	**248**
				Total	**387**
Gearing (times)					
After Distribution of Dividends and Acquisition but before IPO and utilisation of proceeds[(1)]					0.02
After Distribution of Dividends, Acquisition, IPO and utilisation of proceeds[(2)]					[•]

As at the LPD, the above-mentioned hire purchases have been fully settled.

Notes:

(1) Computed based on our pro forma equity attributable to the owners of our Company of RM19.57 million after the Distribution of Dividends and Acquisition, but before IPO and utilisation of proceeds.

(2) Computed based on our pro forma equity attributable to the owners of our Company of RM[•] million after the Distribution of Dividends, Acquisition, IPO and utilisation of proceeds.

Separately, we have also recognised the following lease liabilities in relation to rental lease arrangements which are denominated in RM, as follows:

	Purpose	Tenure	As at 30 June 2025 RM'000
Lease liabilities payable within 1 year	Rental of Retail Outlets and a warehouse	Initial lease of 1 to 3 years, with option to renew for another 1 to 3 years	11,940
Lease liabilities payable after 1 year	Rental of Retail Outlets and a warehouse	Initial lease of 1 to 3 years, with option to renew for another 1 to 3 years	46,651

As at the LPD, we do not have any borrowings. We have not defaulted on payments of principal sums and/or interests in respect of any borrowings throughout the Financial Period Under Review and up to the LPD.

As at the LPD, neither our Company nor our subsidiary is in breach of any terms and conditions or covenants associated with the credit arrangement or bank loan which can materially affect our financial position and operations.

During the Financial Period Under Review and up to the LPD, we have not experienced any claw back or reduction in the facilities limit granted to us by our lenders.

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11.3.3 Types of financial instruments used, treasury policies and objectives

Save as disclosed in Section 11.3.2 of this Prospectus above, we do not have nor utilise any other financial instruments or have any treasury policies. All our hire purchases are for motor vehicles and are based on fixed rates. All our bank guarantees are for our rental lease arrangements.

11.3.4 Material capital commitments, material litigation and contingent liabilities

(a) Material capital commitments

As at the LPD, save as disclosed in Section 4.9.1 of this Prospectus, our Group does not have any material capital commitments for capital expenditure, which upon becoming enforceable, may have a material effect on our financial position.

(b) Material litigations and contingent liabilities

As at the LPD, we are not engaged in any material litigation, claim or arbitration either as plaintiff or defendant and there is no proceeding pending or threatened or any fact likely to give rise to any proceeding which might materially or adversely affect our financial performance, position or profitability.

As at the LPD, our Directors confirm that there are no material contingent liabilities incurred by our Group, which upon becoming enforceable may have a material effect on our Group's business, financial results or position.

11.4 KEY FINANCIAL RATIOS

The key financial ratios of our Group for the Financial Period Under Review are as follows:

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
Trade receivables turnover (days)[(1)]	9	7	8
Trade payables turnover (days)[(2)]	97	77	122
Inventory turnover (days)[(3)]	39	46	88
Current ratio (times)[(4)]	0.71	0.89	1.07
Gearing ratio (times)[(5)]	13.63	0.10	0.01

Notes:

(1) Computed based on the average opening and closing trade receivables over total revenue for the financial year and multiplied by 365 days for each financial year.

(2) Computed based on the average opening and closing trade payables over total purchases of products and packaging materials for the financial year and multiplied by 365 days for each financial year.

(3) Computed based on the average opening and closing inventories over total purchases of products for the financial year and multiplied by 365 days for each financial year.

(4) Computed based on current assets over current liabilities as at each financial year end.

(5) Computed based on total lease liabilities (excluding lease liabilities on rental lease arrangement) over total equity as at the end of each financial year.

11.4.1 Trade receivables turnover

Our Group's trade receivables turnover period for the Financial Period Under Review is computed as follows:

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**
Opening trade receivables	131	4,401	3,403
Closing trade receivables	4,401	3,403	(1)4,803
Average trade receivables	2,266	3,902	4,103
Revenue	95,662	195,539	194,908
Trade receivables turnover period (days)	9	7	8

Note:

(1) Includes amount owing by a related party that is trade in nature.

The normal credit period granted by our Group to customers is up to 60 days from the date of our invoice.

Our Group's trade receivables for the Financial Period Under Review mainly comprise amounts due from financial institutions and third-party payment channels for collection-in-transit related to credit and debit card transactions as well as e-wallet QR payments for sales to end customers.

Our trade receivables turnover period improved from 9 days in FYE 2023 to 7 days in FYE 2024 and increased slightly to 8 days in FYE 2025, all of which remain within the normal credit period granted to customers.

The ageing analysis of our trade receivables as at 30 June 2025 is as follows:

	Trade receivables as at 30 June 2025		Collection from 1 July 2025 to the LPD	Balance trade receivables as at the LPD
	RM'000	**% of trade receivables**	**RM'000**	**RM'000**
	(a)	**(a)/total of (a)**	**(b)**	**(c) = (a) - (b)**
Neither past due nor impaired	3,318	69.08	3,318	-
Past due but not impaired:				
- less than 30 days	718	14.95	718	-
- 31 to 60 days	411	8.56	411	-
- over 60 days	356	7.41	356	-
	1,485	30.92	1,485	-
	4,803	**100.00**	**4,803**	**-**

As at the LPD, we have fully collected all of our trade receivables as at 30 June 2025. During the Financial Period Under Review, we do not have any significant exposure to any individual customer.

11.4.2 Trade payables turnover

Our Group's trade payables turnover period for the Financial Period Under Review is computed as follows:

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**
Opening trade payables	15,461	25,046	36,656
Closing trade payables	25,046	36,656	(1)40,856
Average trade payables	20,254	30,851	38,756
Total purchases of products and packaging materials during the financial year(2)	76,051	145,814	116,221
Trade payables turnover period (days)	97	77	122

Notes:

(1) Includes amount owing to related parties that is trade in nature.

(2) Represents actual purchases of products and packaging materials during each respective year, without adjusting for opening and closing inventory movements, as this better reflects the procurement transactions and corresponding payment obligations to suppliers.

The normal credit terms granted by our suppliers to our Group ranges from 30 to 90 days from the date of supplier's invoice.

Our trade payables turnover period of 97 days for FYE 2023 exceeded the normal credit terms granted by suppliers, mainly due to higher purchases towards the end of the financial year in preparation for the launch of our online store on Shopee in October 2023.

Our Group's trade payables turnover period improved from 97 days in FYE 2023 to 77 days in FYE 2024, mainly due to timely settlement of supplier payments supported by our stronger cash position resulting from higher revenue generated during FYE 2024.

However, our trade payables turnover period increased from 77 days in FYE 2024 to 122 days in FYE 2025, which is above the normal credit terms granted by our suppliers, mainly due to higher purchases towards the end of the financial year in preparation for the opening of 4 new Retail Outlets in the Klang Valley, Terengganu, Negeri Sembilan and Johor Bahru in August 2025.

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The ageing analysis of our trade payables as at 30 June 2025 is as follows:

	Trade payables as at 30 June 2025		Payment from 1 July 2025 to the LPD	Balance trade payables as at the LPD
	RM'000	**% of trade payables**	**RM'000**	**RM'000**
	(a)	**(a)/ total of (a)**	**(b)**	**(c) = (a) - (b)**
Within credit period	15,481	37.89	15,481	-
Exceeding credit period:				
- 1 to 30 days	7,546	18.47	7,546	-
- 31 to 60 days	788	1.93	788	-
- More than 60 days	17,041	41.71	17,041	-
	25,375	62.11	25,375	-
	40,856	**100.00**	**40,856**	**-**

Our Group's total trade payables past due as at 30 June 2025 is RM25.38 million, representing 62.11% of total trade payables. Subsequent to 30 June 2025 and up to the LPD, we have made payments of RM40.86 million, representing 100.00% of the total payables as at 30 June 2025, of which RM25.38 million were relating to trade payables past due as at 30 June 2025.

As at the LPD, we do not have any material disputes with our suppliers in respect of total outstanding trade payables and no legal action has been initiated by our suppliers to demand for payment.

11.4.3 Inventories turnover

Our Group's inventories turnover period for the Financial Period Under Review is computed as follows:

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**
Opening inventories	3,321	13,047	23,860
Closing inventories	13,047	23,860	31,703
Average inventories	8,184	18,454	27,782
Total purchases of products during the financial year[(1)]	75,919	145,283	114,697
Inventory turnover (days)	39	46	88

Note:

(1) Represents actual purchases of products during each respective year, without adjusting for opening and closing inventory movements, as this better reflects the procurement transactions and inventory levels held. Packaging materials purchases are excluded as these costs are expensed directly in the year incurred and do not form part of inventory balances.

Our inventories mainly comprise fashion products such as apparel, bags, personal accessories as well as third-party merchandises such as perfumes, beauty and personal care products, toys and collectibles.

Our inventory turnover period increased from 39 days in FYE 2023 to 46 days in FYE 2024, mainly due to higher level of inventories maintained to support stronger sales from our e-commerce platforms and Retail Outlets, as well as in preparation for the opening of 5 new Retail Outlets in Klang Valley in the first half of FYE 2025.

Our inventory turnover period increased from 46 days in FYE 2024 to 88 days in FYE 2025, mainly due to higher level of inventories maintained towards the end of the financial year in preparation for the opening of 4 new Retail Outlets in the Klang Valley, Terengganu, Negeri Sembilan and Johor Bahru in August 2025. The higher inventory levels were necessary to ensure sufficient stock availability for these new outlets and to support the anticipated sales demand upon their opening.

There were no inventories written off for the Financial Period Under Review. However, we recorded inventories written down for slow-moving inventories across all product categories during the Financial Period Under Review, as set out in the table below:

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**
Inventories written down	1,591	1,513	10,883

During FYE 2023 and FYE 2024, inventories were written down for slow-moving items held for more than 180 days for both online sales and retail sales.

In FYE 2025, a higher inventory written down of RM10.88 million was recognised mainly due to a change in inventory written down approach following the implementation of a new inventory management system for online sales, whereby the threshold for identifying slow-moving inventories for online sales was revised from more than 180 days to more than 90 days across all product categories.

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11.4.4 Current ratio

Our Group's current ratio for the Financial Period Under Review is computed as follows:

	Audited		
	As at 30 June		
	2023	**2024**	**2025**
	RM'000	**RM'000**	**RM'000**
Current assets	25,651	45,179	67,332
Current liabilities	36,195	51,049	62,873
Net current (liabilities)/assets	**(10,544)**	**(5,870)**	**4,459**
Current ratio (times)	0.71	0.89	1.07

Our Group's current ratio improved from 0.71 times as at 30 June 2023 to 0.89 times as at 30 June 2024. This was mainly due to the net effects of the following:

(i) increase in inventories by RM10.81 million, mainly due to higher purchases towards the end of FYE 2024 to support stronger sales from e-commerce platforms and Retail Outlets, as well as in preparation for the opening of 5 new Retail Outlets in the first half of FYE 2025;

(ii) increase in cash and bank balances by RM7.87 million, mainly due to higher cash generated in tandem with the increase in our Group's revenue in FYE 2024;

(iii) increase in trade payables by RM11.61 million in tandem with higher purchases towards the end of the FYE 2024; and

(iv) increase in lease liabilities by RM3.70 million, mainly due to the upward revision of lease payment under the rental lease arrangement for a Retail Outlet located at Bukit Bintang since April 2023, as well as a new rental lease arrangement for our Subang Warehouse.

Our Group's current ratio improved from 0.89 times as at 30 June 2024 to 1.07 times as at 30 June 2025. This was mainly due to the net effects of the following:

(i) increase in fixed deposits with licensed banks by RM10.39 million following the placement of fixed deposits in February 2025;

(ii) increase in inventories by RM7.84 million, mainly due to higher purchases towards the end of FYE 2025 in preparation for the opening of 4 new Retail Outlets in August 2025;

(iii) increase in cash and bank balances by RM2.79 million, mainly due to higher cash generated in tandem with the increase in our Group's retail sales in FYE 2025;

(iv) increase in trade payables by RM4.10 million in tandem with higher purchases towards the end of FYE 2025;

(v) increase in current tax liabilities by RM3.84 million, mainly due to higher taxable profit for the financial year; and

(vi) increase in other payables, deposit received and accruals by RM2.71 million, mainly due to increased other payables arising from renovation and advertisement expenses incurred during the year, as well as higher accruals primarily due to accrued staff costs for June 2025.

11.4.5 Gearing ratio

Our gearing ratio throughout the Financial Period Under Review is as follows:

	Audited		
	As at 30 June		
	2023	2024	2025
	RM'000	RM'000	RM'000
Total borrowings[(1)]	777	858	387
Total equity attributable to owners of the Company	57	8,702	26,572
Gearing ratio (times)	13.63	0.10	0.01

Note:

(1) Excluding lease liabilities arising from rental lease arrangement of RM31.15 million, RM36.23 million and RM58.59 million as at 30 June 2023, 30 June 2024 and 30 June 2025 respectively.

Our Group's gearing ratio improved from 13.63 times as at 30 June 2023 to 0.10 times as at 30 June 2024, mainly due to a significant increase in our total equity attributable to owners of the Company by 15,166.67%, compared to a 10.42% increase in our total borrowings as at 30 June 2024. The increase in equity was primarily due to stronger PAT achieved by our Group in FYE 2024.

Our Group's gearing ratio improved further from 0.10 times as at 30 June 2024 to 0.01 times as at 30 June 2025, mainly due to an increase in our total equity attributable to owners of the Company by 205.36%, together with a 54.90% reduction in our total borrowings as at 30 June 2025. The increase in equity was primarily due to stronger PAT achieved by our Group in FYE 2025.

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11.5 IMPACT OF FOREIGN EXCHANGE RATES, INTEREST RATES AND/OR COMMODITY PRICES ON OUR OPERATIONS

(a) Impact of foreign exchange rates

Our Group's financial performance for the Financial Period Under Review were not affected by fluctuations in foreign exchange rates as all of our revenue and cost of sales were transacted in RM.

(b) Impact of interest rates

Interest coverage ratio measures the number of times a company can make its interest payments with its EBIT. The interest coverage ratio of our Group for the Financial Period Under Review is as follows:

	Audited		
	FYE 2023	**FYE 2024**	**FYE 2025**
	RM'000	**RM'000**	**RM'000**
EBIT	5,738	13,122	32,847
Finance costs	626	1,645	2,349
Interest coverage ratio (times)[(1)]	9.17	7.98	13.98

Note:

(1) Computed based on EBIT over finance costs for the financial year.

Our Group's financial results for the Financial Period Under Review were not materially affected by fluctuations in interest rates. Our interest coverage ratio of between 7.98 times to 13.98 times for FYE 2023 to FYE 2025 indicates that our Group has been able to generate sufficient EBIT to meet our interest servicing obligations.

(c) Impact of commodity prices

During the Financial Period Under Review, we were not directly affected by fluctuations in commodity prices.

(d) Impact of inflation

During the Financial Period Under Review, our Group's financial performance was not significantly affected by the impact of inflation. However, there is no assurance that our business will not be adversely affected by the impact of inflation moving forward.

(e) Impact of government, economic, fiscal or monetary policies

There were no government, economic, fiscal or monetary policies or factors which have materially affected our operations during the Financial Period Under Review. However, there is no assurance that our financial performance will not be adversely affected by the impact of further changes in government, economic, fiscal or monetary policies or factors moving forward.

Risks relating to government, economic, fiscal or monetary policies or factors which have materially affected our operations are set out in Section 8 of this Prospectus.

11.6 TREND INFORMATION

As at the LPD, our Board confirms that our operations have not been and are not expected to be affected by any of the following:

(a) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material favourable or unfavourable impact on our Group's financial performance, position and operations, other than those discussed in Sections 6, 8 and 11 of this Prospectus;

(b) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our Group's historical combined financial statements not necessarily indicative of the future financial performance and position other than those discussed in Sections 7 and 11 of this Prospectus;

(c) known trends, demands, commitments, events or uncertainties that have resulted in a substantial increase in our Group's revenue save for those that had been discussed in Sections 11.2, 6 and 7 of this Prospectus;

(d) material commitments for capital expenditure as set out in Section 11.3.4 of this Prospectus; and

(e) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group save as discussed in Sections 8 and 11.2 of this Prospectus.

Our Board is optimistic about the future prospects of our Group given our competitive strengths as set out in Section 6.5.6 of this Prospectus, the positive outlook of the fashion industry as set out in Section 7 of this Prospectus and our business strategies and plans as set out in Section 6.7 of this Prospectus.

11.7 ORDER BOOK

Due to the nature of our business, our Group does not enter into long-term contracts with our customers. Sales through our Retail Outlets and e-commerce platforms are sold to customers on ad-hoc basis. In this regard, our Group does not maintain an order book.

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11.8 DIVIDEND POLICY

Our Group currently does not have any formal dividend policy. Our Group's ability to distribute dividends or make other distributions to shareholders is subject to various factors, such as profits recorded and excess funds which are not required to be retained for working capital and/or expansion of our business. The declaration of dividends and other distribution are subject to the discretion of our Board. Our Directors will take into consideration, among others, the following factors when recommending or declaring any dividends:

(a) the availability of adequate cash flows;

(b) our operating cash flow requirements and financing commitments;

(c) our anticipated future operating conditions, as well as future expansion, capital expenditure and investment plans;

(d) our Company is solvent as required under Section 132 of the Act; and

(e) any material impact of tax laws and other regulatory requirements.

As we are an investment holding company, our income and therefore our ability to pay dividends is dependent upon the dividends from our subsidiary. The payment of dividends by our subsidiary will in turn depend on their distributable profits, financial performance, financial condition and capital expenditure plans.

There is no dividend restrictions imposed on our Group as at the LPD. There are no specific legal, financial or economic restrictions on our subsidiary to declare and pay dividends to us.

For the Financial Period Under Review and up to the LPD, the dividends declared and paid are as follows:

	Audited			**Unaudited**
	FYE 2023	**FYE 2024**	**FYE 2025**	**1 July 2025 up to the LPD**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Dividend declared and paid	-	-	7,000	7,000

The dividends above were funded by our internally generated funds.

As at the LPD, there is no outstanding dividend declared and unpaid. Save as disclosed above, our Group does not intend to pay any dividends prior to the completion of our Listing. The dividends will not affect the execution and implementation of our future plans or business strategies. Together with the IPO proceeds, we believe that we have sufficient cash from operation to fund our operations and expansion plans.

11.9 SIGNIFICANT CHANGES

Save as disclosed in this Prospectus, there are no significant changes that have occurred which may have a material effect on our Group's financial position and results of operations subsequent to FYE 2025 and up to the LPD.

11.10 CAPITALISATION AND INDEBTEDNESS

The table below summarises our capitalisation and indebtedness:

(a) based on the latest unaudited combined financial information of our Group as at 31 January 2026; and

(b) after adjusting for the effects of the Acquisition, Public Issue and utilisation of proceeds.

		I	II	III
	Unaudited as at 31 January 2026	**After Acquisition**	**After I and IPO**	**After II and utilisation of proceeds**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Indebtedness				
Current				
Unsecured				
Lease liabilities (rentals)(1)	14,341	14,341	14,341	14,341
Non-current				
Unsecured				
Lease liabilities (rentals)(1)	37,621	37,621	37,621	37,621
Total indebtedness	**51,962**	**51,962**	**51,962**	**51,962**
Capitalisation				
Share capital	2,500	26,000	[•]	[•]
Total capitalisation	**2,500**	**26,000**	**[•]**	**[•]**
Total capitalisation and indebtedness	**54,462**	**77,962**	**[•]**	**[•]**
Gearing ratio (times)(2)	**-**	**-**	**[•]**	**[•]**

Notes:

(1) Lease liabilities (rentals) represent the present value of the remaining rental payments over the rental period for our rented properties.

(2) Calculated based on the total indebtedness (excluding lease liabilities arising from rental of rented properties) divided by total capitalisation.